# Blessed G/Michael Catholic Secondary School

## Semester 1 Economics Mid1 Examination for Grade10

Academic Year: 2024 / 2018 E.C. Time Allowed: 1:30'

**Name:** _____ **Grade & Sec:** Grade10 _____ **R.No:** _____

**I. Choose the best answer among the given alternatives.**

____ **1.** What is the fundamental economic problem facing all human societies?

**A.** Inflation **B.** Scarcity of resources

**C.** Unemployment **D.** Poverty

____ **2.** The value of the next best alternative foregone when a choice is made is termed:

**A.** Explicit cost **B.** Sunk cost

**C.** Opportunity cost **D.** Marginal cost

____ **3.** According to the Law of Demand, when the price of a good increases, ceteris paribus:

**A.** Quantity demanded increases **B.** Quantity demanded decreases

**C.** Demand shifts rightward **D.** Supply decreases

____ **4.** Market equilibrium occurs at the price level where:

**A.** Quantity demanded equals quantity supplied
**B.** There is excess supply
**C.** There is excess demand
**D.** Government fixes price ceilings

____ **5.** A point located inside the Production Possibility Curve (PPC) represents:

**A.** Unattainable production level
**B.** Inefficient use or underemployment of resources
**C.** Maximum potential output
**D.** Economic growth

____ **6.** If demand for injera teff increases while its supply remains constant, what happens to the equilibrium price and quantity?

**A.** Both price and quantity increase **B.** Price increases but quantity decreases

**C.** Both price and quantity decrease **D.** Price decreases but quantity increases

____ **7.** What are the four primary factors of production in economic theory?

**A.** Land, Labor, Capital, and Entrepreneurship
**B.** Money, Gold, Stocks, and Bonds
**C.** Factories, Machinery, Trucks, and Fuel
**D.** Government, Taxes, Banks, and Consumers

____ **8.** Which economic system relies primarily on custom, culture, and ancestral heritage to answer the fundamental questions of what, how, and for whom to produce?

**A.** Traditional economy **B.** Command (socialist) economy

**C.** Market (capitalist) economy **D.** Mixed economy

____ **9.** Microeconomics focuses on:

**A.** Individual consumers, households, and single business firms
**B.** National inflation and gross domestic product (GDP)
**C.** Aggregate national unemployment rates
**D.** Monetary policy of the central bank

____ **10.** When the price of tea rises, consumers purchase more coffee. This demonstrates that coffee and tea are:

**A.** Substitute goods **B.** Complementary goods

**C.** Inferior goods **D.** Giffen goods

____ **11.** What happens to the market demand curve for a normal good when consumer household incomes rise?

**A.** The entire demand curve shifts rightward
**B.** The demand curve shifts leftward
**C.** There is movement down along the existing curve
**D.** Supply drops to zero

____ **12.** If quantity demanded changes by 20% in response to a 10% change in price, what is the price elasticity of demand (Ped)?

**A.** 2.0 (Elastic demand) **B.** 0.5 (Inelastic demand)

**C.** 1.0 (Unitary) **D.** 0.0

____ **13.** The Law of Diminishing Marginal Utility states that:

**A.** As an individual consumes more units of a good, the additional satisfaction derived from each successive unit decreases

**B.** Total satisfaction eventually becomes infinite

**C.** Prices always decline over time

**D.** Production costs rise continuously

____ **14.** What occurs in a competitive market if the government imposes a legal maximum price (price ceiling) below equilibrium?

**A.** A persistent market shortage (excess demand)

**B.** A market surplus (excess supply)

**C.** Increased equilibrium price

**D.** Zero consumer demand

____ **15.** The reward or payment to the factor of production "Capital" is termed:

**A.** Interest **B.** Rent **C.** Wages **D.** Profit

____ **16.** A market structure characterized by a single seller producing a unique product with impossible barriers to entry is a:

**A.** Monopoly **B.** Perfect competition

**C.** Oligopoly **D.** Monopolistic competition

____ **17.** Which of the following causes an outward shift (expansion) of the Production Possibility Curve (PPC)?

**A.** Technological innovation and an increase in productive resources

**B.** High unemployment

**C.** Depletion of mineral reserves

**D.** Decreased labor training

____ **18.** Goods for which demand decreases when consumer income rises are known as:

**A.** Inferior goods **B.** Normal goods **C.** Luxury goods **D.** Capital goods

____ **19.** What is the slope of a typical supply curve?

**A.** Upward-sloping (positive slope) **B.** Downward-sloping (negative slope)

**C.** Horizontal (zero slope) **D.** Vertical (infinite slope)

____ **20.** The financial difference between the maximum price a consumer is willing to pay and the actual market price paid is called:

**A.** Consumer surplus **B.** Producer surplus

**C.** Deadweight loss **D.** Economic profit

____ **21.** In a command economy, economic production decisions are primarily directed by:

**A.** The central government authority **B.** Decentralized private price mechanisms

**C.** Tribal elders **D.** Foreign investors exclusively